E. Reasonable Alternatives

1. Over-Funding of the Customer and PAB Reserve Bank Accounts

As an alternative to daily computation requirements, the Commission considered an over-funding approach which would have applied to the customer and PAB reserve bank accounts. For example, carrying broker-dealers would have performed the required reserve computations and deposits weekly and deposited a multiple of this amount (e.g., 105% or 110%) into the customer or PAB reserve bank account. Under this alternative approach, carrying broker-dealers would have avoided an increase in compliance costs associated with a daily computation requirement (hence, this alternative would have applied to carrying broker-dealers choosing weekly funding). Insofar as the compliance costs associated with the daily computation would be passed onto customers and PAB account holders of the affected carrying broker-dealers, this alternative approach would have been more beneficial for these customers and PAB account holders because it would not have implied an operational change and compliance costs related to the customer and PAB reserve computation while offering extra protection for customers and PAB account holders.

However, under this alternative the carrying broker-dealer would have needed to fund the excess with its own cash, which could have resulted in funding costs, decreased liquidity, and opportunity costs from not being able to deploy this cash in the carrying broker-dealer's business. As a result, requiring carrying broker-dealers to place extra cash in a customer or PAB reserve bank account could have resulted in an operational efficiency decrease and potential reduction of carrying broker-dealers' profits, which may be passed onto customers, PAB account holders, and other stakeholders. In addition, this approach would not have accounted for the actual net cash owed to customers and PAB account holders if reserve bank account mismatches exceeded the buffer that this alternative would have required.

2. A Threshold Based on a Different Metric

As an alternative, the Commission considered setting a threshold for compliance with a daily computation requirement based on a different metric. For example, the Commission could have set a threshold based on total assets of $1 billion or net capital of $50 million. A threshold based on such metrics could have been more representative of the economies of scale that carrying broker-dealers experience and could have better indicated a carrying broker-dealer's ability to comply with enhanced requirements without substantial increases in compliance costs that could have ultimately been passed onto their customers.

Based on the monthly 2023 FOCUS Reports, the Commission estimates that under the alternative threshold of $1 billion in total assets 78 carrying broker-dealers would have been required to perform the customer and PAB reserve computations daily. Of the 49 carrying broker-dealers that are at or above the $500 Million Threshold for average total credits, one has total assets below $1 billion, while 30 carrying broker-dealers below the $500 Million Threshold have total assets over $1 billion.

With respect to a $50 million net capital threshold, 100 carrying broker-dealers would have been required to perform the customer and PAB reserve computations daily. Of the carrying broker-dealers that are below $500 Million Threshold for average total credits, 51 have net capital exceeding $50 million, while of the group above $500 Million Threshold for average total credits, none have net capital below $50 million.

If the alternative had stated that the carrying broker-dealer has over $1 billion in total assets, *or* has over $50 million net capital threshold, 101 carrying broker-dealers would have been required to perform the customer and PAB reserve computations daily.

A drawback to this alternative is that some large broker-dealers with minimal amounts of carrying activity would have borne the added cost of switching to a daily computation. For

example, the group of 30 carrying broker-dealers below the $500 Million Threshold with $1 billion in assets or more, had a combined total of average total credits of approximately $4.6 billion as of the end of 2023. That amounted to only about 0.44% of average total credits for all carrying broker-dealers for that year.[388]

The Commission received a comment suggesting the Commission require carrying broker-dealers to perform daily reserve computations if the average total credits exceed the proposed $250 Million Threshold and average net credits exceed $10 million.[389] This commenter stated that including this additional net credits metric would ensure that the rule requirements exclude carrying broker-dealers without a large excess of credits over debits, as these carrying broker-dealers do not present a large mismatch risk.

Under this alternative, based on the monthly 2023 FOCUS Reports, 51 carrying broker-dealers would have been required to perform the reserve computations daily, compared to the 49 under the final amendments with the threshold set to $500 Million.[390] The potential drawback to this alternative is that some of the carrying broker-dealers with large amounts of average total credits would have been excluded from the daily computation requirement. To be specific, out of 10 carrying broker-dealers above the $500 Million Threshold that would have been scoped out of the compliance under this alternative, 7 carrying broker-dealers have over $1 billion in average total credits. Given the information displayed in Table 5, carrying broker-dealers in this group are more likely to have larger mismatches, which suggests that under this alternative

---

388 *See* Table 7 below in section IV.E.6. of this release for numbers based on the June 2023 to May 2024 period.

389 *See* SIFMA Letter at 6.

390 The average net credits are calculated as an average of excess total credits over total debits, where total debits exclude 3% of aggregate debits (i.e. based on the baseline 3% debit reduction).

approach, there is a potential for more carrying broker-dealers to have a large mismatch, than under the final amendments.

3. Daily Computation Requirement for All Carrying Broker-Dealers

As an alternative, the Commission considered requiring the daily computation requirement to apply to all carrying broker-dealers with positive average total credits. Under this alternative, a greater number of carrying broker-dealers would have performed their customer and PAB reserve computations daily, which would have benefitted more customers and PAB account holders compared to the final amendments. Specifically, under the zero threshold, 113 more carrying broker-dealers would have experienced the benefits and costs discussed in section IV.C. of this release (compared to the 49 affected based on the January 2023 to December 2023 period).

Further, to the degree that carrying broker-dealers with smaller amounts of total credits are interdependent with other broker-dealers to the same degree as carrying broker-dealers with larger amounts of total credits, this approach would have benefitted all PAB account holders equally and potentially reduced the systemic risk to a greater degree relative to the final amendments. The number of credits held in the PAB reserve bank accounts of the 44 carrying broker-dealers (with PAB accounts) above the $500 Million Threshold makes up approximately 99% of the total amount held in PAB reserve bank accounts (of the 82 broker-dealers that reported carrying PAB accounts in 2023).[391]

In particular, insofar as a daily computation for all carrying broker-dealers reduces the chance that any carrying broker-dealer has funds in its PAB reserve bank account that are less

---

[391] *See* Table 7 below in section IV.E.6. of this release for numbers based on the June 2023 to May 2024 period.

than the net amount of cash owed to PAB account holders, the potential for stress propagation associated with a failure of a carrying broker-dealer could be reduced.

However, this alternative would have imposed compliance costs on a greater number of carrying broker-dealers, which could have been passed onto customers and PAB account holders. In addition, customer protection benefits may have been not justified by the reduction in operational efficiency of carrying broker-dealers with little customer and PAB account activity that may arise from disproportional dedication of resources towards a de minimis business activity. Finally, this alternative would have also imposed significant economic impact on small businesses.

4. A Higher or Lower Threshold for Daily Computation

As an alternative, the Commission considered a threshold higher or lower than $500 million in average total credits. Under these alternatives, fewer or more carrying broker-dealers would have been required to perform their customer and PAB reserve computations daily. For example, if the threshold was set at $100 million, a total of 75 carrying broker-dealers would have been scoped into the new requirements compared to the 49 under the final amendments. Similarly, if the threshold was set at $1 billion, only 41 carrying broker-dealers would have been scoped into the new requirements.[392]

If the threshold were $100 million, more carrying broker-dealers would perform daily computations, which would mean that fewer broker-dealers would have a mismatch between the net cash owed to the carrying broker-dealer's customers and the amounts deposited in their customer or PAB reserve bank accounts. On the other hand, more broker-dealers would have

---

[392] *See* Table 7 below in section IV.E.6. of this release for numbers based on the June 2023 to May 2024 period.

incurred the burden of performing their customer and PAB reserve computations daily. If the threshold were set at $1 billion, fewer carrying broker-dealers would face the costs of a daily computation than under the final amendments. However, there would have been fewer carrying broker-dealers computing daily, suggesting the potential for more carrying broker-dealers having a mismatch than under the final amendments.

5. Calculation based on the Maximum Value over the Past Year

The $500 Million Threshold is the arithmetic mean of the total credits in the customer and PAB reserve computations reported on the twelve most recently filed month-end FOCUS Reports.[393] As an alternative, the Commission considered a threshold based on the maximum value for total credits during the most recently ended calendar year. This alternative may have more appropriately accounted for the implied capacity of the carrying broker-dealer's reserve bank accounts. For example, if total credits related to customers or PAB account holders' activity fluctuated throughout a year or based on economic cycles and such fluctuations are predictable, the maximum value of total credits may have been more representative of the customer transactions' volume. As another example, if a carrying broker-dealer experiences trending growth of its customer base, the maximum value of total credits would have also been more representative of the current size of the customer base.

Table 6 below regroups carrying broker-dealers based on the maximum number reported for total credits within a given year. Under this alternative, 59 carrying broker-dealers would

---

[393] This means, for example, if a carrying broker-dealer is required to file 12 FOCUS Reports for a calendar year, the carrying broker-dealer adds up the Total Credits reported in both the customer and PAB reserve formulas in each of the 12 FOCUS Reports filed, and divides the total by 12 to compute the arithmetic mean.

have been scoped into the final rule, compared to the 49 that are scoped into the rule under the final amendments.

Table 5. Threshold based on Maximum Total Credits during 2023

	#	Total assets ($B)	Total Customer Credits, $MM			Total PAB Credits, $MM			Total Credits, $MM	
			#	Mean	Median	#	Mean	Median	Mean	Median
>$0-100MM	76	212.8	76	14.4	2.7	17	0.3	-	14.7	2.9
$100-250MM	16	91.3	16	159.0	140.2	7	0.1	-	159.1	140.2
$250-500MM	11	147.8	11	323.8	303.7	6	37.7	1.2	360.3	333.6
$500MM-1B	12	301.7	12	540.8	554.9	10	135.6	32.7	643.4	614.1
$1-5B	22	412.7	22	2,386.7	2,257.6	19	168.8	12.4	2,491.6	2,516.9
$5-10B	5	133.1	5	7,261.8	7,421.5	5	212.1	76.0	7,460.7	7,457.7
>= 10B	20	3,524.2	20	49,360.3	30,366.1	18	8,336.9	330.1	57,157.6	33,833.3
Total[a]	162	4,823.6	162	6,726.6	122.1	82	1,071.5	0	7,719.8	125.6

[a] Table excludes carrying broker-dealers with zero reported credits in 2023.

A benefit of this alternative is those carrying broker-dealers with the largest amounts of total credits would be scoped into daily computing, where the largest credits reported (as opposed to the average) could be more indicative of a potential mismatch between the net cash owed to customers and the reserve account balances. However, this alternative may also create uncertainty if any cyclical behavior of total credits that has occurred over some historical period, changes unexpectedly, leading to potential for a carrying broker-dealer oscillating between weekly and daily computations and deposits from year to year.

Table 7 summarizes the number of affected broker-dealers under the alternatives thus far versus the final amendments, both for the rolling sample period defined from January 2023 to December 2023 and for the period defined from June 2023 to May 2024.

Table 7. Summary of Affected Broker-Dealers under the Final Amendments versus Alternatives

Alternatives vs. Final Amendments		Number of Affected Broker-Dealers (based on period January 2023 to December 2023)	Number of Affected Broker-Dealers (based on period June 2023 to May 2024)
Final Amendments		49	48
Alternatives			
Alt 1	Over-Funding	162	160
Alt 2	$1B in Total Assets	78	79
Alt 2	$50MM in Net Capital	100	103
Alt 2	$10MM in Net Credits and Average T.C.>$250MM	51	51
Alt 3	Daily for all	162	160
Alt 4	Average T.C. > $1B	41	40
Alt 4	Average T.C. > $100MM	75	76
Alt 5	Maximum Total Credits	59	57

6. Daily Computation if an Average Required Deposit Exceeds a Threshold

As an alternative to performing the customer and PAB reserve computations daily for carrying broker-dealers over a threshold (defined by average total credits), the Commission considered an approach that would have required a daily computation in the case where the required reserve bank account deposit as a share of the reserve bank account balance prior to such deposit exceeds a certain percentage threshold (e.g., 5% or 10%).[394]

This alternative approach would have accounted for broker-dealer-specific trends related to customer transactions. If the customer base differed substantially between carrying broker-

[394] *See* discussion related to Table 5 in section IV.B.2. of this release.

dealers, with customers of some carrying broker-dealers trading more often or doing account activities that increased the carrying broker-dealer's total credits by more compared to the customer base of other broker-dealers, this alternative approach would have focused only on those carrying broker-dealers that typically experience larger reserve mismatches. However, given the information displayed in Table 5, there does not appear to be a perfect correlation with carrying broker-dealer size (measured by average total credits), and the deposit "mismatch." [395] Smaller-broker dealers can have an average mismatch of more than 5% (based on the January 2023 to December 2023 period), implying the possibility of an undue burden with respect to compliance costs. That latter could have ultimately been passed onto the carrying broker-dealers' customers and PAB account holders.

7. Daily Computation Requirement Based on Average Total Credits Per Number of Customer and PAB Accounts

As an alternative to performing the customer and PAB reserve computations daily for carrying broker-dealers over a threshold (defined by average total credits), the Commission considered requiring daily computations based on *average total credits per number of customer accounts.* While a failure of carrying broker-dealers with smaller amounts of total credits may not have posed a significant risk of depletion to the SIPC Fund, a threshold based on the average total credits may have had limitations from an individual customer or PAB account holder prospective. This is because such a threshold does not account for the number of customers and

[395] Computed by dividing the numbers in column four by the numbers in column three of panel A of Table 5.

PAB account holders a carrying broker-dealer might have and is disconnected from the per-customer protection approach that is used by SIPC.[396]

For example, consider two carrying broker-dealers, both with $150 million in total credits, which is below the $500 Million Threshold. The first carrying broker-dealer has three customers, each contributing $50 million in credits towards the carrying broker-dealer's aggregate value of total credits, and the second carrying broker-dealer has 100 customers each contributing $1.5 million in credits towards the carrying broker-dealer's aggregate value of total credits. Recall that the maximum advance from the SIPC Fund is $500,000 per customer. Consider a situation where both carrying broker-dealers fail and their reserve bank accounts are underfunded by more than 1% of what is owed to customers (i.e., the shortage is above $1.5 million). In this situation, the customers of the second carrying broker-dealer would be made whole promptly with an advance from the SIPC Fund, but the customers of the first carrying broker-dealer would not be made whole (because the per-customer loss is above maximum per-customer SIPC advance of $500,000) until SIPC recovers funds from the carrying broker-dealer, which may take some time.

The above example notwithstanding, data from the FOCUS Reports for 2023 suggests the potential for this concern is likely negligible. Table 8 displays the amounts of average total credits per total accounts for each size grouping of carrying broker-dealers. For the 162 carrying broker-dealers that reported positive total credits in December 2023, the average amount of average total credits per account (with the number of customer accounts and PAB accounts combined) was notably larger for the carrying broker-dealers above the $500 Million Threshold

---

[396] Per 15 U.S.C. 78fff-2(c), customers of a failed broker-dealer have the right to share *pro rata* with other SIPA customers in the customer property held by that broker-dealer. *See* section I.C.2. of this release for more details.